

Morrisons refinancing credit review

Illustrative £900m senior secured term-out • Lender view • July 2026

Credit view

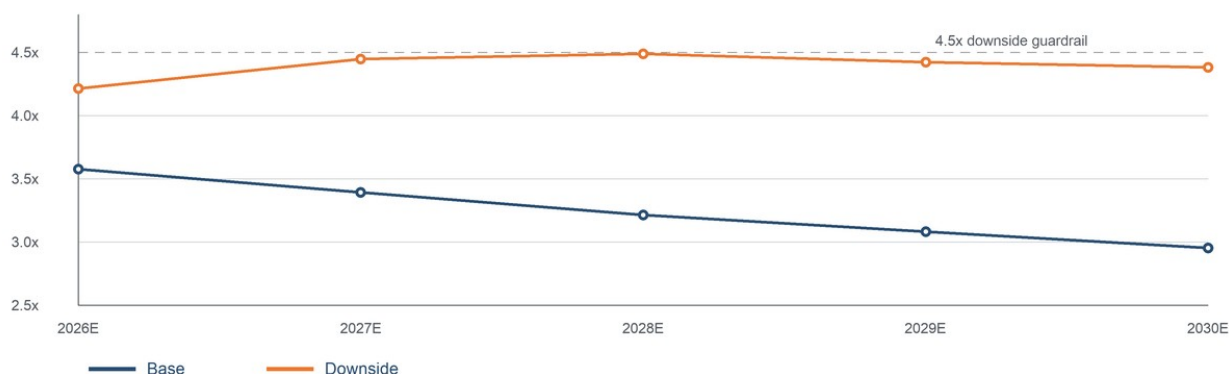
Approve with conditions. The £900m facility generates £891.0m at 99 OID against £895.8m of debt takeout, so £4.8m plus £5m of assumed other fees are funded from cash, leaving £340.2m to start the forecast. The transaction removes the residual 2027 secured-note tail and £750m 2028 maturity, but approval depends on RCF refinancing, cash retention and debt reduction.

Metric	FY25A	FY26E base	FY26E downside	FY30E base
Revenue	£15,800m	£16,227m	£15,800m	£17,703m
Underlying EBITDA	£835m	£868m	£751m	£1,000m
Net leverage	n/a	3.58x	4.21x	2.95x
EBITDA / cash interest	n/a	2.31x	2.00x	2.70x

Credit strengths and constraints

What supports the credit	What constrains it
- Essential grocery demand and £15.8bn revenue scale support operating resilience. - FY25A EBITDA remained £835m despite c.£200m annualised budget-related cost pressure. - Gross debt has fallen c.£2.7bn since acquisition and the main maturities now sit in 2030–31. - The £1.0bn committed RCF supports downside liquidity through FY29E.	- Recurring cash generation is thin after interest, capital expenditure and lease payments. - Downside cash flow is negative in every forecast year; RCF drawings require an extension or replacement before Aug-2030. - A low-single-digit EBITDA margin is sensitive to price investment, wages and regulation. - Interest cover reaches a 1.93x trough, leaving limited room for further underperformance.

Leverage and liquidity



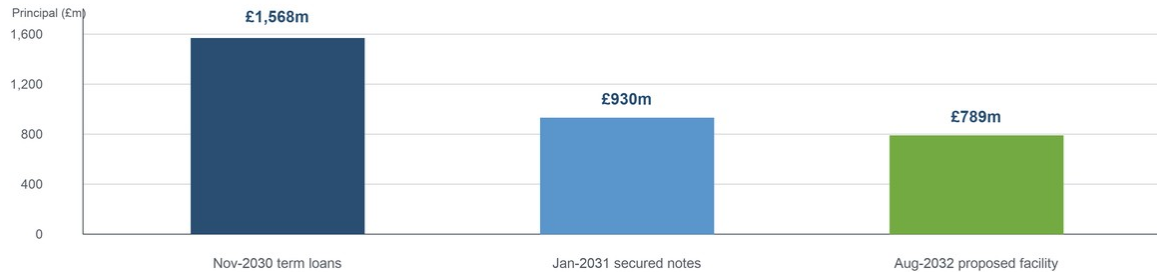
Base-case net leverage falls to 2.95x by FY30E. The downside peaks at 4.49x in FY28E and draws £461m of the RCF by FY30E. The £839m FY30E liquidity figure assumes the RCF is extended or replaced before Aug-2030. Without replacement, the annual model requires £461m of funding to repay the drawn RCF while retaining £300m minimum cash.

Scope: public information to 17 June 2026. FY26E is a full-year pro forma case with post-refinancing opening balances, not an actual mid-year closing/stub. Forecasts, FX, pricing and covenants are assumptions. FY30 liquidity requires RCF replacement. Commitment fees are excluded.

Capital structure at close

Instrument	Principal	Rate	Maturity	Ranking	Amortisation
RCF	£0m / £1,000m	7.50% assumed	Aug-2030*	Super senior	Bullet
Existing term loans	£1,650m	7.50% assumed	Nov-2030	First lien	1.0% p.a.
2031 secured notes	£930m eq.	7.82% weighted	Jan-2031	First lien	Bullet
Proposed term-out	£900m	8.25% assumed	Aug-2032	First lien	1.0% p.a.

FY30E ending balances by contractual maturity



The facility is broadly debt-neutral on a gross-principal basis: gross debt rises £4.2m and net debt rises £14m including OID and assumed fees. Cash starts at £340.2m. FY26E applies post-refinancing balances for a full pro forma year; Aug-2032 is an indicative maturity. Credit improvement depends on extending maturities, amortisation and the surplus-cash sweep.

Recommended terms

Pricing / OID	SONIA +450 bps; 50 bps floor; 99 OID
Scheduled amortisation	1.0% of original principal per year, paid quarterly
Cash sweep	Applied to proposed term-out first: 50% at or above 3.25x; 25% from 2.75x to below 3.25x; 0% below 2.75x
Liquidity	Minimum £300m cash and £500m total liquidity; extend or replace RCF and deliver 2030-31 refinancing plan by Aug-2029
Springing covenant	5.25x first-lien net leverage when more than 40% of the RCF is drawn
Leakage	No restricted payments above 3.50x total net leverage or below £500m pro forma liquidity
Guarantor coverage	At least 80% of consolidated EBITDA; no material structurally senior debt

Downside and conclusion

The downside uses a 4.65% margin trough and partial capex flexibility. Negative FCF drives £461m FY30 RCF use; replacement is essential to retain £300m cash. Base term loans and notes of £2.50bn mature in Nov-2030 / Jan-2031. Commitment fees are excluded: an illustrative 50bp fee on £1bn undrawn capacity costs £5m annually, reducing FY26 base FCF from £34m to £29m before financing effects. The actual fee is unverified.

Conclusion: approve with conditions. Require an RCF extension or replacement and a plan for the Nov-2030 and Jan-2031 maturities by Aug-2029, together with cash retention and debt reduction.

Sources: Market Bidco FY2024 accounts; Morrisons FY25, Q3 FY25 and Q2 FY26 updates; 2024 facility amendment; TISE 2025 residual-note and 2031 notices (see SOURCES.md). 2030 maturities have springing conditions. Opening-balance interest omits interest on new in-year RCF draws; half-year draw interest raises downside FY30 RCF to £479m, with £821m conditional liquidity. Legal covenant definitions, redemption premiums and settlement accruals are not modelled.